



Pensions and retirement

A pension plan is a type of savings plan to help save money for retirement. Pensions enable workers to save a proportion of their income regularly during their working life so that they can have an income when they retire. It is important for workers to think about starting to make pension contributions when they are young, rather than when they are approaching retirement age. In many countries, pensions have certain specific tax benefits in comparison with other forms of savings.

Saving



Early investment

Jane, age 25, wants to retire at 68 with a \$15,000-a-year pension. She needs to save \$165 a month. See pp.198-199

10% of monthly salary

WORKING LIFE

Later investment

Paul, age 45, wants to retire at 68 with a \$15,000-a-year pension. He needs to save \$322 a month. See pp.198-199



15% of monthly salary

Changing age of retirement

In most countries there is a minimum age that must be reached before an individual can access any of their private pensions—in the US it was 65, but the age is increasing; the Social Security benefits program is changing the age requirement. The US Census Bureau reports that retirement age ranges from 62 to 65, and it varies by state. The average age is expected to climb as Baby Boomers postpone retirement to improve their financial situation. See pp.202-203

Pension plan

State pension

Contributions are taken from taxpayers by the government. People who have contributed enough then receive a state pension at retirement age.

Company pension

Employees and employers make monthly payments into a fund managed by a pension company. They may also receive government tax relief.

Private pension

DIY pensions allow workers to choose their own investments and pension company. They may also be able to claim government tax relief.

Tax contributions for a number of years

Employee contributes a % of salary monthly

Company contributes an additional % to employee pension

Individual makes a monthly contribution